

Nimbus Re - Claims Handling Standard Operating Procedure

Version 2.0 - effective 1 March 2026. Owner: Head of Claims. Nimbus Re is a fictional reinsurer used for training material only.

1. First notice of loss (FNOL)

Every first notice of loss must be acknowledged to the cedant or broker within 24 hours of receipt, including weekends. The acknowledgement contains the Nimbus claim reference and the name of the assigned adjuster.

An initial reserve must be set within 5 business days of the first notice of loss. The reserve is reviewed at least every 90 days, or immediately when new information changes the expected outcome by more than 20 percent.

2. Assignment of claims

- Claims with an estimated gross loss up to USD 1 million are handled by a claims adjuster.
- Claims above USD 1 million are assigned to a senior adjuster.
- Claims above USD 10 million are reviewed weekly by the Large Loss Committee until settlement.

3. Payment authority

Payments may be approved up to the following limits per claim:

- Claims adjuster: USD 250,000
- Senior adjuster: USD 2 million
- Head of Claims: USD 10 million
- Above USD 10 million: Chief Executive Officer together with the Chief Financial Officer.

4. Catastrophe events

When a catastrophe event is declared, the claims team must send a large-loss notification to retrocession partners within 48 hours for any event where the estimated Nimbus share exceeds USD 5 million. A catastrophe event code is assigned to every related claim so that losses can be aggregated.

5. Fraud indicators

Adjusters must refer a claim to the Special Investigations Unit (SIU) within 2 business days when any of these red flags is present: a loss shortly after inception or a cover increase, inconsistent statements, missing original invoices, or a history of similar claims. Referral does not delay payment of undisputed amounts.

6. Communication with cedants

Cedants must receive a written status update at least every 14 days while a claim is open. Any reserve change above USD 500,000 must be communicated within 3 business days.

7. Closing a claim

A claim may be closed once final payment is made and all recoveries (salvage, subrogation, retrocession) have been pursued or formally waived. Closed claims can be reopened within 24 months if new information arrives.